

SENATE BILL 2160

By Watson

AN ACT to amend Tennessee Code Annotated, Title 5;
Title 6; Title 7 and Title 67, Chapter 6, relative to
local government.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-6-702(a)(1), is amended by
adding the following as a new subdivision (C):

(C)

(i) A county with a metropolitan form of government is authorized to:

(a) Levy a tax on the retail sale of food and food ingredients, as
described in § 67-6-228(a), within the county at a rate lower than the local
tax rate levied on other privileges, goods, and services; or

(b) Exempt from the local tax rate the retail sale of food and food
ingredients, as described in § 67-6-228(a), within the county.

(ii) The county shall furnish a certified copy of the adopted resolution
authorized in subdivision (a)(1)(C)(i) to the department of revenue. The reduced
tax rate or exemption becomes effective on the first calendar day of the month
occurring at least sixty (60) days after the department receives the certified copy.
The reduced tax rate or exemption applies only to tax periods beginning on or
after October 1, 2026.

SECTION 2. Tennessee Code Annotated, Section 67-6-705(d), is amended by adding
the language "or (a)(1)(C)" immediately after the language "§ 67-6-702(a)(1)(B)(ii)".

SECTION 3. Tennessee Code Annotated, Section 7-1-113, is amended by deleting from subsection (a) all language between the second comma and the period, and by deleting subdivisions (b)(1)-(3).

SECTION 4. This act takes effect upon becoming a law, the public welfare requiring it.